

January 2026



2026 Economic Outlook

Navigating
Transformation Across
Global Market





01 Executive Summary



Executive Summary

The global economy enters 2026 with cautious optimism. The IMF projects global growth at 3.3%, supported by technology investment, accommodative financial conditions, and private sector adaptability. While geopolitical tensions and trade policy uncertainty persist, structural shifts in blockchain adoption, investment banking consolidation, and evolving consumer markets present significant opportunities for strategic positioning.

Key Economic Indicators at a Glance

Indicator	Global GDP Growth (IMF)	2026 Forecast 3.3%
U.S. GDP Growth		2.0 - 2.6%
Eurozone GDP Growth		0.9 - 1.3%
China GDP Growth		4.5 - 4.8%
Global Inflation (Headline)		3.1%
U.S. Federal Reserve Target Rate		3.0 - 3.25%



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Global Macroeconomic Environment

1. Global Macroeconomic Environment

Growth Outlook: Steady Amid Structural Shifts

The global economy demonstrates remarkable resilience entering 2026. According to the IMF's January 2026 World Economic Outlook Update, global growth is projected at **3.3% for 2026**, revised slightly upward from October 2025 estimates. This growth is underpinned by technology investment, fiscal and monetary support, and private sector adaptability offsetting trade policy shifts.

Regional divergence remains a defining characteristic. The United States continues to exhibit economic exceptionalism, with forecasts ranging from 2.0% to 2.6% growth. Strong household finances, AI-driven investment, and supportive fiscal policy through tax cuts are key drivers.

Morgan Stanley notes that AI outlays continue providing a capital spending boost, while consumer spending remains robust across income levels.

Inflation and Monetary Policy

Global headline inflation is projected to decline to **3.1% in 2026** from 3.4% in 2025. However, the path remains uneven: U.S. inflation will return to target more gradually due to tariff impacts and immigration restrictions, while the eurozone may undershoot the ECB's 2% target. Goldman Sachs Research expects developed-market policy rates to converge lower, with the U.S. Federal Reserve projected to reduce rates by 50 basis points to 3.0-3.25%.

Key Risks to Monitor

Trade policy uncertainty and tariff escalation
Geopolitical tensions, particularly regarding the Russia-Ukraine conflict
Potential reevaluation of AI-related technology expectations
Financial market corrections amid elevated asset valuations
Debt sustainability concerns in emerging markets



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Blockchain and Digital Assets

3. Blockchain & Digital Assets



The Dawn of the Institutional Era

2026 marks a pivotal year for digital assets as the industry transitions from speculation toward institutional integration. Grayscale expects bipartisan crypto market structure legislation to become U.S. law, facilitating deeper integration between public blockchains and traditional finance. The convergence of regulatory clarity and enterprise-grade deployment is pushing blockchain from experimental applications to foundational financial infrastructure.

Market Dynamics and Trends

Key developments shaping the blockchain landscape include:

- Stablecoin Growth:** Coinbase forecasts stablecoin market cap could reach \$1.2 trillion by end of 2028. On-chain dollars are graduating from pilots into enterprise plumbing for treasury workflows, cross-border settlement, and programmable B2B payments.
- Real-World Asset Tokenization:** 76% of companies plan to add tokenized assets in 2026. On-chain representations of cash, treasuries, and money market instruments have crossed \$36 billion, with entire asset classes from funds to bonds to real estate moving on-chain.
- Regulatory Progress:** The GENIUS Act and anticipated SEC "Innovation Exemption" under "Project Crypto" will facilitate regulated trading of digital asset securities and potentially allow for on-chain issuance.
- AI-Crypto Convergence:** Agentic systems that transact autonomously require open, programmable payments. Blockchain infrastructure will serve as the base layer for AI agent activity, with protocols enabling high-frequency microtransaction settlement.
- Privacy Technologies:** Zero-knowledge proofs and fully homomorphic encryption will see meaningful adoption as institutional participants demand greater confidentiality.

Strategic Implications

The market is bifurcating into two distinct domains: one centered on utility and institutional integration, the other on speculation. Traditional financial institutions recognize they must adapt to crypto or risk disruption. JPMorgan has issued USD deposit tokens on public blockchains, while Citi has integrated token services for real-time cross-border payments. For investors, the emphasis shifts toward projects with verifiable revenue, sustainable tokenomics, and regulatory compliance.



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Investment Banking and M&A

3. Investment Banking and M&A



A Conviction Cycle: Fewer, Bigger Deals

2026 is shaping up as a defining year for M&A, characterized by strategic repositioning and building for scale. According to Goldman Sachs' 2026 Global M&A Outlook, the fundamental drivers remain robust: availability of capital in public and private markets, the resurgence of the IPO market, strategic positioning imperatives, and improved execution certainty.

Market Dynamics

Barclays characterizes 2026 as a "conviction cycle" rather than a volume cycle, with clients focusing on fewer but larger strategic transactions:

- **Private Equity Activity:** Secondary market volumes increased 60% year-over-year in 2025. The EY-Parthenon Deal Barometer forecasts 5% growth in PE deal volume for 2026, driven by pent-up demand and improved exit opportunities.
- **IPO Resurgence:** The IPO window has reopened with significant offerings from crypto-native companies including Circle Internet Group. This enables financial sponsors to return capital to investors and create a flywheel for new deployments.
- **AI-Driven Transformation:** AI is fueling a domino effect across software, data centers, semiconductors, real estate, power, and transmission sectors, creating extensive deal opportunities.
- **Cross-Border Activity:** Significant outbound activity from Asia into the U.S. is expected, alongside meaningful deal flow in the Middle East region.

Regulatory Environment

The regulatory landscape is evolving favorably for consolidation. Regulatory shifts are moving to relax requirements and streamline approval processes, creating a more conducive environment for strategic M&A. Banks are benefiting from improving macroeconomic conditions, with BCG's M&A Sentiment Index showing marked improvement from recent lows, particularly in Europe and North America.



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Structured Finance and Securitization



4. Structured Finance and Securitization

Stable Performance in a Shifting Landscape

The outlook for global structured finance in 2026 remains stable, reflecting lower interest rates and steady economic growth. According to Moody's, performance will increasingly diverge by region and asset class rather than move in lockstep, with structural design becoming more critical than ever.

Issuance Outlook

Key projections for 2026 securitization markets:

U.S. Market: KBRA forecasts \$948 billion in new issuance, a 16% increase from 2024, driven by consumer ABS growth.

European Market: S&P projects approximately €160 billion in issuance, supported by a broadening seller base and greater use of securitization for risk transfer. KBRA forecasts volumes reaching approximately €287 billion.

CLO Market: Supportive financing conditions from declining interest rates will bolster performance, though private credit growth is reshaping asset origination and competition.

Emerging Themes

Digital Infrastructure: Data centers have become a core property type within U.S. SASB CMBS, with financing demand expected to rise significantly.

Green Securitization: Renewables-linked and ESG securitizations continue expanding, underscoring structural diversification across markets.

Private Credit Integration: Securitization is increasingly integrating within alternative investment structures such as RAIFs and ELTIFs, representing significant innovation in portfolio construction.

Tokenization and DLT: Blockchain technology promises faster settlement, auditability, and interoperability of structured finance products.



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Global Aesthetics and Beauty Products

5. Global Aesthetics and Beauty Products



Resilient Growth Amid Transformation

The global beauty and aesthetics market demonstrates continued resilience, with the cosmetics industry projected to reach approximately **\$380 billion in 2026**, advancing toward an estimated \$560 billion by 2032 at a CAGR of 6.64%. Regional distribution shows Asia-Pacific leading at 39%, followed by Europe at 26%, the United States at 22%, and emerging markets comprising the remainder.

U.S. Market Performance

According to Circana, U.S. beauty expanded across all key metrics through Q3 2025, with prestige beauty posting 4% sales growth to \$24.1 billion and mass beauty achieving 5% growth to \$54.5 billion. Looking ahead, Circana forecasts 7% growth for U.S. prestige beauty in 2026, with consumers increasingly prioritizing value, efficacy, and personalization.

Key Industry Trends

Biotech-Driven Innovation: Clinically substantiated actives including exosomes, growth factors, and advanced peptides are moving from niche to mainstream as regulatory clarity improves.

K-Beauty Expansion: Korean beauty is expanding beyond skincare into hair, nails, and fragrance, with South Korean cosmetics exports to European markets surging significantly.

AI Integration: AI is becoming central to R&D, marketing, content creation, and retail personalization. 71% of consumers now use virtual try-on technologies before purchasing.

Longevity Focus: Brands are leading with evidence-backed, age-agnostic innovation spanning skincare, body care, and wellness, with global consumer spend on health goods and services projected at \$6.9 trillion.

Regulatory Adaptation: New EU PPWR regulations and 15%+ import tariffs on key markets are reshaping sourcing and pricing strategies, driving adoption of regionally optimized manufacturing.

M&A Activity

The sector continues experiencing strategic repositioning through major acquisitions. Fragrance is emerging as a growth driver, with significant investment in upstream manufacturing and celebrity-backed brands. Middle Eastern fragrance brands are seeing substantial global traction, while South Asian color cosmetics present emerging opportunities for international expansion.



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Strategic Outlook and Recommendations



As we navigate 2026, several cross-cutting themes emerge that warrant strategic attention:

Digital Transformation Acceleration: From blockchain integration in traditional finance to AI-powered personalization in consumer markets, digital capabilities are becoming foundational rather than optional.

Regulatory Evolution: Proactive engagement with evolving regulatory frameworks—whether in crypto, structured finance, or consumer products—will separate market leaders from followers.

Strategic M&A Positioning: The emphasis on conviction-driven, transformational deals creates opportunities for well-positioned acquirers while rewarding operational excellence in integration.

Regional Diversification: Divergent growth trajectories across regions necessitate nuanced market approaches, with particular attention to Asian markets' influence across multiple sectors.

Risk Management: Geopolitical uncertainty, trade policy shifts, and potential technology valuation corrections require robust scenario planning and hedging strategies.

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JANUARY NEWSLETTER

THANK FOR ATTENTION

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